

Company Number 00095489

Manchester United Football Club Limited
Annual Report and financial statements
for the year ended 30 June 2010

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Manchester United Football Club Limited

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Manchester United Football Club Limited

Directors' report for the financial year ended 30 June 2010

The directors present their report and audited financial statements of Manchester United Football Club Limited for the year ended 30 June 2010

Principal activities

The principal activity of the Company continues to be the operation of a professional football club together with related and ancillary activities

Business review

The Manchester United team maintained a high level of performance on the pitch, finishing FA Premier League runners up, winning the Carling Cup for the second consecutive year and reaching the quarter final stage of the UEFA Champions League

During the year Old Trafford staged 30 match day events comprising 29 Manchester United home games (comprising 19 FA Premier League, 5 UEFA Champions League, 4 domestic cup, and 1 friendly) and 1 rugby match

Turnover decreased by £4.7 million to £192.4 million (2009 £197.1 million), representing a decrease of 2.4%

Operating profit before amortisation of players and depreciation decreased to £53.2 million (2009 £54.7 million)

The Company made a profit on ordinary activities before taxation of £19.5 million (2009 £92.1 million). Profit on ordinary activities before taxation includes profit on disposal of players amounting to £12.7m (2009 £80.7m)

Strategy

The three key elements for the company's strategy for growth are

- Maintaining playing success
- Treating fans as customers
- Developing club media rights

Summary of key performance indicators for 2009/10

Description	Target	Achieved	Detail
Team performance	Minimum third place finish in the FA Premier League	Yes	FAPL runners up
	Last 16 of the UEFA Champions League	Yes	UEFA Champions league quarter finalists
	Last 8 of domestic cup competitions - FA Cup - Carling Cup	No Yes	Eliminated third round Winners
Matchday income	Maximum achievable attendance at home FA Premier League and UEFA Champions League matches	Yes	FA Premier League and UEFA Champions league home games largely sold out
Media income	Club owned media rights growth	Yes	8% increase
Customer relationship management fan records	Customer base growth	Yes	1% increase

Manchester United Football Club Limited

Directors' report for the financial year ended 30 June 2010 (continued)

Future developments and outlook for 2010/11

- Almost 59,000 season tickets comprising both general admission and executive facility seats were sold before the start of the 2010/11 season
- The team qualified for the UEFA Champions League for the 15th consecutive season by finishing 2nd in the Premier League in 2009/10

Principal risks and uncertainties

The key business risks and uncertainties affecting the Group are considered to relate to maintaining playing success, recruitment and retention of key employees (including playing and coaching staff) and the safety and security of supporters at the Old Trafford stadium

The business seeks to maintain playing success by continually investing in the squad either via the youth academy or by acquiring new talent via our extensive team of scouts who operate both domestically and internationally

We aim to recruit and retain the best people by offering attractive remuneration packages including a range of financial and non-financial benefits, by ensuring regular communication with our employees and offering regular reviews of performance and training

We place the security of our supporters at Old Trafford at the top of the agenda and the board continually reviews the safety and security arrangements both with our own security staff, the local authorities and external consultants to ensure that best practice is followed at all times

Financial risk management

The Company's operations are exposed to a variety of financial risks that include credit risk, currency risk, liquidity risk and interest rate cash flow risk. The Board reviews and agrees policies for managing these risks which are then implemented by the finance department. The policies have remained unchanged throughout the year and are summarised below

- **Credit risk**
Where considered appropriate, the company performs credit checks using an external credit rating agency to evaluate the credit risk of potential customers. In relation to significant one-off transactions such as transfer agreements or sponsorship contracts, the company reviews the credit risk based on information available and obtains bank guarantees where necessary. The company also assesses the stability of financial institutions in which cash deposits are held to minimise any potential credit risk.
- **Currency risk**
The company enters into forward contracts to purchase and sell foreign currency on sales and purchases transactions (including player transfers) where considered appropriate in order to minimise the impact of currency movements on the company's financial performance.
- **Liquidity risk**
The company's liquidity position and short-term debt finance ensures that it has sufficient funds available for short term working capital requirements and for investment in the playing squad and other capital projects.

Manchester United Football Club Limited

Directors' report for the financial year ended 30 June 2010 (continued)

- **Interest rate cash flow risk**

The company has both interest bearing assets and interest bearing liabilities. Interest bearing assets include cash balances, which earn interest at a variable rate. Interest bearing liabilities include a revolving credit facility and bank overdraft which bear interest at a variable rate.

Post balance sheet events

The playing registrations of certain footballers have been disposed of, subsequent to the balance sheet date, for a total proceeds, net of associated costs of £750,083. The associated net book value was £74,978.

Subsequent to the balance sheet date, the playing registrations of certain players were acquired for a total consideration, including associated costs, of £8,307,000.

Dividends

An interim dividend of £100.0m was paid during the year (2009: £nil). The directors do not recommend the payment of a final dividend (2009: £nil).

The profit for the financial year of £13.5 million (2009: £67.5 million) has been retained and transferred to reserves.

Directors

The directors who held office throughout the year (unless otherwise stated) and up to the date of signing the financial statements were as follows:

Sir R Charlton CBE

J M Edelson

D A Gill

E M Watkins

Company Secretary

P C D Stewart

Qualifying third party indemnity provisions

At the time the report was approved a qualifying third party indemnity provision, made by the Red Football Shareholder Group, was in place for the directors of Red Football Shareholder Limited and its subsidiary companies. This has been in force throughout the financial year.

Differences between market and balance sheet value of land and buildings

The directors consider that the market value of interests in leasehold property is at least that shown as the net book value of the assets. A valuation on a depreciated replacement cost basis, as reported on by Dunlop Haywards Limited, Consultant Surveyors, as at 30 June 2006, showed a valuation surplus, not incorporated in these financial statements, in the order of £107 million.

Charitable and political donations

During the year the Company made no charitable or political donations (2009: £nil).

Employment policies

The Company is committed to its 'people philosophy' and, as a result, to promoting policies to ensure that employees and applicants for employment are treated fairly and consistently. The Company has an equal opportunities policy, the aim of which is not to discriminate against employees or applicants for employment on the grounds of age, disability, ethnic origin, nationality or national origin, religion, race, gender, sexual

Manchester United Football Club Limited

Directors' report for the financial year ended 30 June 2010 (continued)

Employment policies (continued)

orientation, marital status or family circumstances Entry into and progression within the Company is determined solely by the job criteria and personal ability/competence

The Company also seeks to apply best practice in the employment, training, development and promotion of disabled persons The Company takes seriously its statutory obligations relating to disabled persons and seeks not to discriminate against current or prospective employees based on their disability If an existing employee becomes disabled, such steps as are practical and reasonable are taken, in respect of adjustments to premises or employment arrangements, to retain him/her in employment Where appropriate, rehabilitation and suitable training are given

Employees are regularly updated on the performance of the Company This is achieved through a broad base of communications including staff briefings, announcements and the staff newsletter 'RedLines' Employees' views are sought through staff surveys and action plans are then developed to target priority for improvement areas The Company is continuing with its focus on reward and recognition of performance as one of these priorities for improvement and its focus on a total reward strategy which has three principal components compensation (pay package), benefits and the work experience Schemes are continually introduced focusing on rewarding individual performance

The Company has established its Vision and Values and these are communicated to all employees Our Vision and Values are directly linked to performance and development review procedures, training and organisational change programmes and reward and recognition initiatives, which apply to all our employees

Environmental policies

Manchester United recognises its responsibility to ensure a safe and healthy environment and will endeavour to maintain sound environmental performance through the continued maintenance of our proactive environmental management system, which is integrated into our overall business activities

Statement of directors' responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have prepared the company financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period

In preparing those financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgments and accounting estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act

Manchester United Football Club Limited

Directors' report for the financial year ended 30 June 2010 (continued)

Statement of directors' responsibilities (continued)

2006 They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

Statement of disclosure of information to auditors

Each director in office at the date of approval confirms

- a) so far as each director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- b) he has taken all the steps that he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the company's auditors are aware of that information

This confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006

Approved by the Board and signed on its behalf by



D A Gill
Director

Registered office
Old Trafford
Manchester
M16 0RA

Company registered in England and Wales No 00095489
27 September 2010

Manchester United Football Club Limited

Independent auditors' report to the members of Manchester United Football Club Limited

We have audited the financial statements of Manchester United Football Club Limited for the year ended 30 June 2010 which comprise the Profit and loss account, the Balance sheet and the related notes. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

Respective responsibilities of directors and auditors

As explained more fully in the Statement of directors' responsibilities set out on pages 4 and 5, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by directors, and the overall presentation of the financial statements.

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the company's affairs as at 30 June 2010 and of its profit for the year then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements.

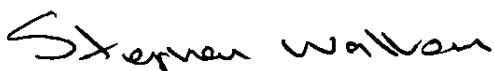
Manchester United Football Club Limited

Independent auditors' report to the members of Manchester United Football Club Limited (continued)

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit



Stephen Walton (Senior Statutory Auditor)
For and on behalf of PricewaterhouseCoopers LLP
Chartered Accountants and Statutory Auditors
Manchester

27 September 2010

Manchester United Football Club Limited

Profit and loss account

	Note	Year ended 30 June 2010 £'000	Year ended 30 June 2009 £'000
Turnover	2	192,422	197,117
Operating expenses – other	3	(185,579)	(185,598)
Operating expenses – exceptional items	4	-	(837)
Total operating expenses		(185,579)	(186,435)
Operating profit		6,843	10,682
Analysed as			
Operating profit before depreciation and amortisation of players' registrations		53,199	54,685
Depreciation		(6,269)	(6,362)
Amortisation of players' registrations		(40,087)	(37,641)
		6,843	10,682
Profit on disposal of players		12,689	80,724
Profit before interest and taxation		19,532	91,406
Net interest receivable	5	1	703
Profit on ordinary activities before taxation		19,533	92,109
Tax on profit on ordinary activities	7	(5,989)	(24,656)
Profit for the financial year	18,19	13,544	67,453

The results for both the current and prior year derive from continuing activities

There were no recognised gains or losses in the current or prior year other than stated above and therefore no statement of recognised gains and losses has been presented

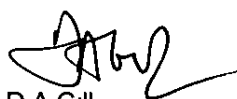
There is no material difference between the profit on ordinary activities before taxation and the profit for the financial year stated above and their historical cost equivalents

Manchester United Football Club Limited

Balance sheet

	Note	At 30 June 2010 £'000	At 30 June 2009 £'000
Fixed assets			
Intangible assets – players' registrations	9	94,270	113,406
Tangible assets	10	128,222	130,790
		222,492	244,196
Current assets			
Debtors – amounts falling due within one year	11	19,881	42,901
Debtors – amounts falling due after more than one year	11	2,957	150
Cash at bank and in hand		4,205	575
		27,043	43,626
Creditors – amounts falling due within one year	12	(126,960)	(66,764)
Net current liabilities		(99,917)	(23,138)
Total assets less current liabilities		122,575	221,058
Creditors – amounts falling due after more than one year	13	(3,996)	(5,393)
Provision for liabilities	14	(14,569)	(18,990)
Accruals and deferred income			
Deferred grant income	15	(322)	(380)
Other deferred income	16	(47,167)	(53,318)
Net assets		56,521	142,977
Capital and reserves			
Called up share capital	17	1,009	1,009
Profit and loss account	18	55,512	141,968
Total shareholders' funds	19	56,521	142,977

The financial statements on pages 8 to 26 were approved by the board of directors on 27 September 2010 and signed on its behalf by



D A Gill
Director

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010

1 Accounting policies

The financial statements have been prepared using the accounting policies described below which have been applied consistently throughout the year

Basis of accounting

The financial statements have been prepared on a going concern basis under the historical cost convention and have been drawn up to comply with applicable accounting standards in the United Kingdom and the Companies Act 2006

Going concern

The directors have received confirmation that Manchester United Limited, the parent company intends to support the company for at least one year after the financial statements are signed. On the basis of this undertaking the directors consider it appropriate to produce the accounts on a going concern basis

Turnover

Turnover represents income receivable from the Company's principal activities excluding transfer fees and value added tax. Turnover is analysed between Match Day, Media and Commercial

Match Day

Match Day turnover comprises income receivable from all match day activities from Manchester United games at Old Trafford, together with the Club's share of gate receipts from cup matches not played at Old Trafford and fees receivable for the team undertaking pre-season tours and for arranging other events at the Old Trafford stadium. The share of gate receipts payable to the other participating club and competition organiser for domestic cup matches played at Old Trafford is treated as an operating expense

Media

Media turnover represents income receivable from all UK and overseas media contracts, including contracts negotiated centrally by the FA Premier League and UEFA. In addition, media turnover includes income received by the exploitation of Manchester United media rights through the internet or wireless applications

Premier League Merit awards are only recognised when they are known at the end of the football season. UEFA pool distributions relating to participation in the Champions League are spread over the matches played in the competition whilst distributions relating to team performance are recognised to the extent they are certain

Commercial

Commercial turnover comprises income receivable from the exploitation of the Manchester United brand through sponsorship and other commercial agreements, including minimum guaranteed income, together with amounts receivable for the use of the conference and catering facilities at the Old Trafford stadium on non-match days. Any additional income receivable over and above the minimum guaranteed income contained in the sponsorship and licensing agreements is taken to turnover when it is probable that the amounts will not be recouped by the sponsor in future years

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Notes to the financial statements for the year ended 30 June 2010 (continued)

Commercial (continued)

Commercial turnover is recognised on a contractual basis, when it is considered that the contractual basis fairly reflects the level of activity and benefits of the contract

Accrued income

Income from match day activities, media and commercial contracts, which is received after the period to which it relates, is treated as accrued income

Deferred income

Income from match day activities, media and commercial contracts, which has been received prior to the period end in respect of future football seasons, is treated as deferred income

Tangible Fixed Assets

Tangible fixed assets are stated at historical purchase cost less accumulated depreciation. Costs include only those costs directly attributable to bring the asset into working condition for its intended use

Depreciation is provided on tangible fixed assets at annual rates appropriate to the estimated useful economic lives of the assets, as follows

	Reducing balance	Straight line
Leasehold property	1 33%	75 years
Plant and machinery	20%-25%	4-5 years
Fixtures and fittings	15%	7 years

The leasehold buildings are depreciated over the shorter of the expected period of the lease and the expected useful economic life

Tangible fixed assets acquired prior to and including 31 July 1999 are depreciated on a reducing balance basis at the rates stated above. Tangible fixed assets acquired on or after 1 August 1999 are depreciated on a straight line basis at the rates stated above

Intangible fixed assets – players' registrations

The costs associated with the acquisition of players' registrations are capitalised at cost as intangible fixed assets. Costs include transfer fees, FAPL levy fees, agent's fees and other directly attributable costs. These costs are fully amortised over the period covered by the player's initial contract

Where a playing contract is extended, any costs associated with securing the extension are added to the unamortised balance (at the date of the amendment) and the revised book value is amortised over the remaining revised contract life

Where a part of the consideration payable on acquiring a player's registration is contingent on a future event, this amount is recognised once it is probable, rather than possible, that the event will occur and is

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

Intangible fixed assets – players' registrations (continued)

amortised from the date at which the contingent payment becomes probable. The total amount which is currently considered possible but not probable is disclosed in note 20c.

Where a sale transaction for a players' registration is in progress at the balance sheet date but completed by the date the financial statements are approved and the amount of net proceeds is less than the carrying value of that registration, a provision for the loss on disposal is included in the financial statements, within the disposal of players category in the profit and loss account. An assessment is also made of directly attributable disposal costs and related onerous contract costs, such amounts are provided and included within the disposal of players category in the profit and loss account.

Proceeds from the temporary transfer of players' registrations to other clubs are offset against their respective staff costs.

Signing-on fees

Staff costs include signing-on fees payable to players representing part of their remuneration which are charged to the profit and loss account evenly over the period covered by the player's contract.

Grants

Grants receivable from the Football Trust and the former Football Grounds Improvement Trust in respect of capital expenditure are treated as deferred income and released to the profit and loss account so as to match the depreciation charged on the fixed assets purchased with the grant. Deferred grant income in the balance sheet represents total grants received less amounts credited to the profit and loss account.

Taxation

Corporation tax payable is provided on taxable profit at the current tax rate.

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date where transactions or events that result in an obligation to pay more tax in the future have occurred at the balance sheet date. Timing differences are differences between the Company's taxable profits and its results as stated in the financial statements.

A net deferred tax asset is regarded as recoverable and therefore recognised only to the extent that, on the basis of all available evidence, it can be regarded as more likely than not that there will be suitable taxable profits from which the future reversal of underlying timing differences can be deducted.

Deferred tax is measured at the tax rates that are expected to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted by the balance sheet date. Deferred tax is measured on a non-discounted basis.

Foreign currencies

Transactions denominated in foreign currencies are translated at the exchange rate at the date of the transaction. Monetary assets and liabilities held at the year end are translated at year-end exchange rates, or the exchange rate of a related forward exchange contract where appropriate. The resulting exchange gain or loss is taken to the profit and loss account.

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

Financial instruments

The Company uses derivative financial instruments to manage its exposure to fluctuations in foreign currency exchange rates. Derivative instruments utilised by the Company include forward currency contracts. The impact on profit is deferred until the underlying transaction is recognised in the profit and loss account.

Leases

Rentals payable under operating leases are charged to the profit and loss account on a straight line basis over the lease term. Any premiums received at the inception of the lease are recognised on a straight-line basis over the life of the lease.

Pension costs

The pension cost charge disclosed in note 21 represents contributions payable by the company to the fund. The company operates a defined contribution scheme. The assets of the scheme are held separately from those of the company in an independently administered fund.

Cash flow statement

The Company is a wholly owned subsidiary of Manchester United Limited and is included in the consolidated financial statements of Manchester United Limited, which are publicly available. Consequently, the company has taken advantage of the exemption from preparing a cash flow statement under the terms of FRS 1 (revised 1996).

2 Turnover

Turnover, all of which arises from the Company's principal activity, can be analysed into its main components as follows:

	Year ended 30 June 2010 £'000	Year ended 30 June 2009 £'000
Match day	94,005	103,564
Media	95,871	91,120
Commercial	2,546	2,433
	192,422	197,117

Turnover, all of which originates in the United Kingdom, can be analysed by destination as follows:

	Year ended 30 June 2010 £'000	Year ended 30 June 2009 £'000
United Kingdom	189,558	190,662
Rest of world – tour income	2,864	6,455
	192,422	197,117

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

2 Turnover (continued)

Media income from European Cup competitions is distributed by the Football Association and is therefore classified as being of United Kingdom origin and destination

The Company's activities are managed as one business and, as such, the operating expenses are not separately identifiable to any particular segment. As a result, no segmental analysis of operating performance or net assets is provided

3 Operating expenses – other

	Year ended 30 June 2010 £'000	Year ended 30 June 2009 £'000
Operations excluding player amortisation and trading		
Staff costs (note 6)	111,913	104,055
Depreciation – owned assets	4,562	4,657
Depreciation – leased assets	1,707	1,705
Operating lease costs – land and buildings	2,000	2,041
Operating lease costs – other	139	139
Other operating charges	25,105	35,428
Auditors' remuneration audit services	20	20
Grants released (note 15)	(58)	(68)
Loss/(profit) on disposal of tangible fixed assets	104	(20)
	145,492	147,957
Player amortisation		
Amortisation of players' registrations	40,087	37,641
	185,579	185,598

4 Operating expenses – exceptional items

	Year ended 30 June 2010 £'000	Year ended 30 June 2009 £'000
Football league pension scheme deficit	-	837

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

5 Net interest receivable

	Year ended 30 June 2010 £'000	Year ended 30 June 2009 £'000
Bank interest receivable	3	(703)
Interest payable on bank overdrafts	(2)	-
	1	(703)

6 Staff costs

The average monthly number of employees during the year, including directors, was as follows

	Year ended 30 June 2010 Number	Year ended 30 June 2009 Number
By activity		
Players	68	62
Ground staff	111	110
Ticket office and membership	105	106
Administration and other	68	61
Average monthly number of employees	352	339

The Company also employs approximately 823 temporary staff on match days (2009 1,015)

Particulars of employee costs are as shown below

	Year ended 30 June 2010 £'000	Year ended 30 June 2009 £'000
Wages and salaries	99,730	92,742
Social security costs	11,586	10,777
Other pension costs	597	536
	111,913	104,055

Directors emoluments amounting to £1,490,730 (2009 £1,412,520) for services provided to Manchester United Football Club were borne by Manchester United Limited

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

7 Tax on profit on ordinary activities

	Year ended 30 June 2010 £'000	Year ended 30 June 2009 £'000
Current tax		
Corporation tax	10,410	8,928
Adjustment in respect of previous years	-	(1,685)
Total current tax	10,410	7,243
Deferred tax		
Origination and reversal of timing differences	(4,421)	17,413
Total deferred tax (note 14)	(4,421)	17,413
Tax charged to profit on ordinary activities	5,989	24,656

The tax assessed for the year is higher (2009 lower) than that resulting from applying the standard rate of corporation tax in the UK of 28% (2009 28%). A reconciliation of current tax is shown below,

	Year ended 30 June 2010 £'000	Year ended 30 June 2009 £'000
Profit on ordinary activities before taxation	19,533	92,109
Profit on ordinary activities multiplied by the standard rate of 28% (2009 28%)	5,469	25,791
Effect of		
-Adjustment to tax in respect of previous years	-	(1,685)
-Expenses not deductible for tax purposes	520	550
-Capital allowances, rolled over gain on player disposal and other timing differences	4,421	(17,413)
	10,410	7,243

Factors that may affect future tax charges:

A number of changes to the UK Corporation tax system were announced in the June 2010 Budget Statement. The Finance Act (No 2) 2010 is expected to include legislation to reduce the main rate of corporation tax from 28% to 27% from 1 April 2011. Further reductions to the main rate are proposed to reduce the rate by 1% per annum to 24% by 1 April 2014. The changes had not been substantively enacted at the balance sheet date and, therefore, are not included in these financial statements.

The effect of the changes to be enacted in the Finance Act (No 2) 2010 would be to reduce the deferred tax liability provided at 30 June 2010 by £520k. This £520k decrease in the deferred tax liability would

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

7 Tax on (loss)/profit on ordinary activities (continued)

Factors that may affect future tax charges (continued)

increase profit for the year by £520k This decrease in the deferred tax liability is due to the reduction in the corporation tax rate from 28 per cent to 27 per cent with effect from 1 April 2011

The proposed reductions of the main rate of corporation tax by 1% per year to 24% by 1 April 2014 are expected to be enacted separately each year The overall effect of the further changes from 27% to 24%, if these applied to the deferred tax balance at 30 June 2010, would be to reduce the deferred tax liability by £1,560k (being £520k recognised in 2012, £520k recognised in 2013 and £520k recognised in 2014)

8 Dividends

	Year ended 30 June 2010 £'000	Year ended 30 June 2009 £'000
Equity - Ordinary		
Interim dividend £99 15 (2009 £nil) per £1 share	100,000	-

9 Intangible assets – players' registrations

	Total £'000
Cost	
At 1 July 2009	222,306
Additions	25,717
Disposals	(9,638)
At 30 June 2010	238,385
Accumulated amortisation	
At 1 July 2009	108,900
Charge for the year	40,087
Disposals	(4,872)
At 30 June 2010	144,115
Net book amount	
At 30 June 2010	94,270
At 30 June 2009	113,406

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

10 Tangible assets

	Leasehold property £'000	Plant and machinery £'000	Fixtures and fittings £'000	Total £'000
Cost				
At 1 July 2009	132,554	26,823	18,107	177,484
Additions	754	857	2,244	3,855
Disposals	-	(184)	(657)	(841)
At 30 June 2010	133,308	27,496	19,694	180,498
Accumulated depreciation				
At 1 July 2009	12,934	22,064	11,696	46,694
Charge for the year	1,707	3,021	1,541	6,269
Disposals	-	(128)	(559)	(687)
At 30 June 2010	14,641	24,957	12,678	52,276
Net book amount				
At 30 June 2010	118,667	2,539	7,016	128,222
At 30 June 2009	119,620	4,759	6,411	130,790

Leasehold property represents improvements to the Old Trafford stadium for which the Club has a lease for the land, with the parent undertaking, which expires in 2026 (note 20a). The Company has the right to extend the lease indefinitely.

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

11 Debtors

	30 June 2010 £'000	30 June 2009 £'000
Amounts falling due within one year		
Trade debtors	12,696	15,741
Other debtors	22	267
Prepayments and accrued income	5,547	6,876
Amounts due from parent and fellow subsidiary undertakings	1,616	20,017
	19,881	42,901
Amounts falling due after more than one year		
Trade debtors	2,957	150
Total debtors	22,838	43,051

Trade debtors include transfer fees receivable from other football clubs of £13,358,000 (2009 £10,293,000), of which £2,957,000 (2009 £150,000) is receivable after more than one year

Amounts due from parent and fellow subsidiary undertakings are unsecured, interest free, repayable on demand, and have no fixed dates of repayment

12 Creditors – amounts falling due within one year

	30 June 2010 £'000	30 June 2009 £'000
Trade creditors	13,360	36,626
Amounts due to parent and fellow subsidiary undertakings	98,345	18,161
Social security and other taxes	6,596	6,459
Other creditors	1,399	167
Accruals	7,260	5,351
	126,960	66,764

Trade creditors include transfer fees and other associated costs in relation to the acquisition of players' registrations of £11,230,000 (2009 £28,942,000)

Amounts due to parent and subsidiary undertakings are unsecured, interest free, repayable on demand, and have no fixed dates of repayment

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

13 Creditors – amounts falling due after more than one year

	30 June 2010 £'000	30 June 2009 £'000
Trade creditors	2,995	4,209
Other creditors-pensions	1,001	1,184
	3,996	5,393

Trade creditors include transfer fees and other associated costs in relation to the acquisition of players' registrations of £2,995,000 (2009 £4,209,000)

14 Provision for liabilities and charges

Deferred taxation

This provision for deferred taxation comprises

	30 June 2010 £'000	30 June 2009 £'000
Accelerated capital allowances	(547)	752
Short term timing differences	(581)	(636)
Rolled over gain on player disposal	15,697	18,874
	14,569	18,990

The movements in deferred tax balances during the year were as follows

	£'000
At 1 July 2009	18,990
Amount credited to profit and loss account (note 7)	(4,421)
At 30 June 2010	14,569

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

15 Deferred grant income

The movements in deferred grant income during the period were as follows

	30 June 2010 £'000
At 1 July 2009	380
Grants released to the profit and loss account	(58)
At 30 June 2010	322

16 Other deferred income

	30 June 2010 £'000	30 June 2009 £'000
Match day activities	47,035	53,183
Commercial contracts	132	135
	47,167	53,318

17 Called up share capital

	30 June 2010 £'000	30 June 2009 £'000
Authorised		
1,015,000 ordinary shares of £1 each	1,015	1,015
Allotted, and fully paid		
1,008,546 ordinary shares of £1 each	1,009	1,009

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

18 Profit and loss account

	£'000
At 1 July 2009	141,968
Profit for the financial year	13,544
Dividends paid	(100,000)
At 30 June 2010	55,512

19 Reconciliation of movements in shareholders' funds

	Year ended 30 June 2010 £'000	Year ended 30 June 2009 £'000
Profit for the financial year	13,544	67,453
Dividends paid	(100,000)	-
Net (decrease)/increase to shareholders funds	(86,456)	67,453
Opening shareholders' funds	142,977	75,524
Closing shareholders' funds	56,521	142,977

20 Commitments and contingent liabilities

(a) Lease commitments

At 30 June 2010 the Company had annual commitments under non-cancellable operating leases, as follows:

	30 June 2010		30 June 2009	
	Land and buildings	Other	Land and buildings	Other
	£'000	£'000	£'000	£'000
Expiry date				
-within one year	-	33	-	14
-between two and five years	-	110	-	125
-after five years (note 10)	2,000	-	2,000	-
	2,000	143	2,000	139

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

20 Commitments and contingent liabilities (continued)

(b) Capital Commitments

At 30 June 2010 the Company had capital commitments amounting to £2.8 million (2009: £1.3 million)

(c) Transfer fees payable

Under the terms of certain contracts with other football clubs in respect of player transfers, additional amounts would be payable by the Group if certain conditions are met. The maximum that could be payable is £12,769,000 (2009: £11,141,000).

At 30 June 2010, the potential amount payable by type of condition and category of player was

	First team squad £'000	Other £'000	Total £'000
Type of condition			
MUFC appearances/new contract	8,074	4,325	12,399
International appearances	50	320	370
	8,124	4,645	12,769

(d) Derivative contracts

At 30 June 2010, the Company had entered into derivative contracts for foreign currency. The amounts committed to as at 30 June 2010 are as follows,

GBP foreign currency derivative contracts:

Currency	Principal Value (£'000)	Average Rate
Euro	23,936	1.180
US Dollar	11,854	1.454

US Dollar foreign currency derivative contracts

Currency	Principal Value (\$'000)	Average Rate
GBP	22,272	1.555

The carrying amounts of the derivatives as disclosed in the table above, are included within debtors or creditors as appropriate. The fair value of the financial instruments are the amount at which the instruments could be exchanged in a current transaction between willing parties, other than in a forced or

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

20 Commitments and contingent liabilities (continued)

(d) Derivative contracts (continued)

liquidation sale The fair value of the foreign currency swap agreements was estimated by calculating the present value, using appropriate discount rates in effect at the balance sheet date, of affected future cash flows translated, where appropriate, into pounds sterling at the market rates in effect at the balance sheet dates The fair value surplus of the foreign currency agreements was £1,660,565

(e) Debt of parent company

On 29 January 2010, MU Finance plc, a fellow subsidiary of the Company, issued sterling and dollar denominated senior secured notes (bond issue), which amounted to £502.5 million in aggregate (net of original issue discount) The notes are due for repayment in 2017 and interest will be paid on the notes semi-annually

The notes are secured by a first-ranking lien over all shares and substantially all property and assets of the issuer and guarantors, which by definition incorporates Red Football Limited, Red Football Junior Limited, Manchester United Limited and the Company The notes are listed on the Luxembourg stock exchange and are traded on the Euro MTF market

21 Pensions

(a) Defined benefit scheme

Certain employees of the Company are members of The Football League Limited Pension and Life Assurance Scheme ("the Scheme") Accrual of benefits under a final salary basis was suspended with effect from 31 August 1999 following an actuarial review which revealed a substantial deficit

As one of a number of participating employers, the Company is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme The Company is advised only of its share of the deficit in the Scheme and the contributions required to make good the deficit A cumulative amount of £3,260,682 (2009 £3,260,682) has been charged to the profit and loss account (in full) as it is principally attributable to employees who have left the Company or retired

The current deficit, based on the last actuarial valuation at 31 August 2008, is being paid off over a period of ten years from September 2009 The creditor as at 30 June 2010 amounts to £183,748 (2009 £167,000) due within one year and £1,000,753 (2009 £1,184,000) due after more than one year

(b) Defined contribution schemes

Contributions made to defined contribution pension arrangements are charged to the profit and loss account in the year to which they relate and amounted to £597,000 (2009 £536,000)

The assets of all pension schemes to which the Company contributes are held separately from the Company in independently administered funds

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

21 Pensions (continued)

(b) Defined contribution schemes (continued)

As at 30 June 2010, amounts accrued in relation to the defined contribution scheme amounted to £218,725 (2009 £184,586)

22 Related party transactions

E M Watkins was a director of Manchester United Football Club Limited throughout the period. Legal fees of £423,185 (2009 £431,677) were incurred during the year, in the ordinary course of business to Brabners Chaffe Street, a firm in which E M Watkins is the senior partner. Included within Company trade creditors are amounts of £53,296 (2009 £123,079) owed to Brabners Chaffe Street.

Sir R Charlton CBE provides consultancy services to companies within the Manchester United Group. The amount paid for these services during the year was £105,000 (2009 £105,000).

The company has taken advantage of the exemption under paragraph 3(c) from the provisions of FRS 8 (revised), 'Related Party Disclosures', on the grounds that it is a wholly owned subsidiary of a group headed by Red Football Shareholder Limited, whose accounts are publicly available.

23 Post balance sheet events

The playing registrations of certain footballers have been disposed of, subsequent to the balance sheet date, for a total proceeds, net of associated costs of £750,083. The associated net book value was £74,978.

Subsequent to the balance sheet date, the playing registrations of certain players were acquired for a total consideration, including associated costs, of £8,307,000.

24 Ultimate parent undertaking and controlling party

The immediate parent undertaking is Manchester United Limited.

The ultimate parent undertaking and controlling party is Red Football Limited Partnership, a limited partnership formed in the state of Nevada, United States of America whose general partner is Red Football General Partner, Inc. a corporation formed in the State of Nevada, United States of America.

Red Football Shareholder Limited is the parent undertaking of the largest group of undertakings to consolidate these financial statements at 30 June 2010. The consolidated financial statements of Red Football Shareholder Limited can be obtained from the Company Secretary, Red Football Shareholder Limited, Old Trafford, Manchester, M16 0RA.

Manchester United Limited is the parent undertaking of the smallest group of undertakings to consolidate these financial statements 30 June 2010. The consolidated financial statements of Manchester United

Manchester United Football Club Limited

Notes to the financial statements for the year ended 30 June 2010 (continued)

24 Ultimate parent undertaking and controlling party (continued)

Limited can be obtained from the Company Secretary, Manchester United Limited, Old Trafford, Manchester, M16 0RA